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Committee on Regional Trade Agreements

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FULFILLING THE MANDATE AND STRENGTHENING THE FUNCTION OF THE CRTA

Communication from China

The following communication, dated 21 June 2023, is being circulated at the request of the delegation of China.

1.1. RTAs are preferential trade agreements between two or more partners. As MFN exceptions, RTAs are authorized under the WTO subject to a set of rules, including Article XXIV of the General Agreement on Tariffs and Trade 1994, Article V of the General Agreement on Trade in Services and Enabling Clause.

1.2. The Committee on Regional Trade Agreements (CRTA) is mandated to enhance the transparency of RTAs, consider their consistency with WTO rules and discuss the systemic implications of RTAs and regional initiatives for the multilateral trading system¹, as was reaffirmed by WTO Members at the 10th Ministerial Conference in Nairobi in 2015.²

1.3. As RTAs have not only increased in number but also in depth and complexity in recent years, the function of the CRTA needs to be strengthened to fulfill its mandate, with the view to ensuring these RTAs are in line with WTO rules, and do not undermine the rights and benefits of other Members under the WTO agreements.

1.4. We welcome the current discussions in the CRTA based on the communication from the US³ and appreciate the compilation of Members' comments by the Secretariat.⁴ This document is submitted to contribute to the ongoing discussions and provide China's perceptions and suggestions on fulfilling the mandate and strengthening the functions of the CRTA.

1 WORKING PROCEDURE OF THE CRTA

1.5. In the context of WTO reform, there are a number of proposals submitted to the General Council and substantial work is ongoing in certain WTO bodies, such as CTG. We align our position in our proposal "Small Steps to Make a Difference"⁵ that discretion should be granted to the Secretariat to take steps on procedural improvements which could be implemented at the CRTA within the Secretariat's mandate and capabilities. We suggest the Secretariat periodically updates Members on those improvements that have been implemented or will be implemented. We support Secretariat to take full advantage of digital tools to improve the efficiency and effectiveness of the CRTA.

1.6. We also encourage Members to draw on best practices, past experience and lessons learned from other WTO bodies to further streamline the workflow and processes of the CRTA.

¹ [WT/L/127](#).

² Paragraph 28, [WT/MIN\(15\)/DEC](#).

³ [WT/REG/W/174](#).

⁴ [JOB/REG/6/Rev.1](#).

⁵ [WT/GC/W/879](#).

2 TRANSPARENCY AND NOTIFICATION COMPLIANCE

2.1. WTO Members are obliged to notify the RTAs in which they participate. However, a large number of un-notified RTAs remains the main systematic challenge the CRTA is facing. Up to 15 March 2023, there are 56 RTAs that the WTO has verified are in force but have not yet been notified to the WTO.⁶

2.2. We suggest the Secretariat and the CRTA explore the difficulties Members, especially developing Members, are facing in notification and take necessary steps to address those difficulties, such as enhancing technical assistance and capacity building on notification, improving the Factual Presentations to make them more readable and user friendly, etc.

3 THE MONITORING FUNCTION OF THE CRTA

3.1. As more RTAs are notified and considered in the CRTA, current discussions at the CRTA have not well served its mandate as mentioned in paragraph 1.2. We suggest the Secretariat and the CRTA identify ways to better serve this purpose, which will motivate Members to engage more and have more meaningful discussions in the CRTA.

3.2. Factual Presentations could be improved by highlighting innovative provisions and compiling relevant data that may be of interest to third parties. More tools and approaches could be explored by the Secretariat, to help the Committee to better oversee RTAs' consistency with WTO rules as well as their systematic implication for the multilateral trading system, especially whether the RTAs cover substantially all the trade between the contracting parties.

3.3. New forms of regional economic and trade agreements which go beyond the traditional RTAs, for example, those without any traditional market access issues could be of great interest to Members. In accordance with the CRTA's mandate, Members could raise their questions and concerns over such agreements at the CRTA. We also encourage participants of such agreements to voluntarily introduce the agreements at the CRTA or in an informal mode.

3.4. Recent years have witnessed increasing novel issues such as gender, environment, MSMEs, and digital trade, in RTAs. The CRTA could also have discussions on those provisions of such novel issues to ensure their consistency with WTO and that they do not raise unnecessary trade barriers.

⁶ [WT/REG/W/175](#).